

Notes: Cullen & Perez-Truglia (AER, 2023)

The Old Boys' Club: Schmoozing and the Gender Gap

Contents

1	Big picture	3
1.1	Incremental contribution of the paper	3
2	Data construction and measurement	5
2.1	Institutional setting: a large commercial bank	5
2.2	Administrative employee–manager panel	5
2.3	Pay-grade outcome	5
2.4	Social-interaction measures	5
2.5	Effort, performance, and retention outcomes	6
2.6	Smoking sample	6
2.7	Gender sample	6
2.8	Shared traits and proximity measures	7
3	Empirical specifications	8
3.1	Baseline event-study specification	8
3.2	Smoking single-difference specification	8
3.3	Smoking double-difference specification	8
3.4	Gender single-difference specification	8
3.5	Dual-double-difference gender specification	8
3.6	Proximity heterogeneity specification	9
4	Identification strategy	10
4.1	Step 1: use manager rotations as quasi-random shocks to social access	10
4.2	Step 2: difference out the manager-transition effect itself	10
4.3	Step 3: event-study pretrends as a balance test	10
4.4	Step 4: use nonsmoking employees and female employees as internal controls	10
4.5	Step 5: rule out productivity channels	11
4.6	Step 6: distinguish face-to-face interaction from generic affinity	11
4.7	Step 7: use proximity heterogeneity as mechanism evidence	11
4.8	Threats and limitations	11
5	Figures and tables	13
5.1	Figure 1. Smoker-to-Smoker Advantage in Pay Grades + Figure 2. Smoker-to-Smoker Advantage in Social Interactions with the Manager	13
5.2	Figure 3. Smoker-to-Smoker Advantage in Effort, Performance, and Retention + Figure 4. Pay Grade Advantage from Having a Shared Trait with the Manager	13
5.3	Figure 5. Smoker-to-Smoker Advantage in Pay Grades: Heterogeneity by Proximity to the Manager + Figure 6. Male-to-Male Advantage in Pay Grades: Single-Difference Estimates	14
5.4	Figure 7. Male-to-Male Advantage in Pay Grades: Double-Differences Estimates + Figure 8. Male-to-Male Advantage in Pay Grades: Heterogeneity by Proximity to the Manager	15
6	Interpretive synthesis	16
6.1	What the smoking design teaches	16
6.2	What the gender design adds	16
6.3	Why productivity is not the main interpretation	16
6.4	Why proximity is central	16
6.5	Implications for remote work	16
7	Short summary	16

8	Conclusion	17
8.1	Core conclusion	17
8.2	Economic intuition	17
8.3	Policy implications	17
8.4	What the paper does not prove	17
8.5	Final takeaway	17

1 Big picture

- **Question.** Do informal social interactions with managers affect employees' career advancement, and can this mechanism contribute to the gender gap in promotions and pay?
- **Core setting.** The paper studies a large commercial bank in Southeast Asia using administrative data on employees, managers, pay grades, manager assignments, effort, performance, retention, office proximity, and survey measures of social interactions.
- **Central mechanism.** Employees who share opportunities for face-to-face social interactions with their managers can receive career advantages. The paper's cleanest mechanism uses smoking: smoking creates structured breaks that increase informal manager–employee contact.
- **Key empirical design.** Manager rotations create quasi-random variation in whether an employee gains a manager who shares an interaction-relevant trait. The authors compare outcomes before and after manager switches, using event-study difference-in-differences designs.
- **Smoking result.** Male smoking employees who switch from a nonsmoking manager to a smoking manager experience faster pay-grade growth than comparable male smoking employees who switch from one nonsmoking manager to another. Nonsmoking employees do not experience the same gain.
- **Mechanism result.** The smoking manager effect is accompanied by an increase in breaks taken with the manager, but not by observable increases in effort, sales, or retention. This supports an informal-interaction channel rather than a productivity channel.
- **Gender result.** Male employees benefit more from male managers than female employees do. Female employees do not appear to receive a symmetric advantage from female managers.
- **Proximity result.** The male-to-male advantage and the smoker-to-smoker advantage are stronger when the employee works in high physical proximity to the manager, where face-to-face interactions are more likely.
- **Magnitude.** The paper argues that this mechanism can explain a substantial share of the promotion gender gap at the firm, approximately one-third in the authors' accounting.
- **Economic takeaway.** The “old boys' club” is not only a metaphor. Informal access to managers can affect promotions, and because social opportunities are gendered, these interactions can create persistent career inequality even when formal evaluation rules appear gender-neutral.

1.1 Incremental contribution of the paper

- **Moves from anecdotes to measurement.** Prior discussions of old-boys' networks often relied on anecdotal evidence, surveys, or broad correlations. This paper directly measures workplace interactions and links them to administrative career outcomes.
- **Introduces a quasi-experimental interaction design.** The paper uses manager rotations to identify changes in interaction opportunities, rather than comparing employees who endogenously choose to socialize.
- **Separates interaction from affinity.** By comparing smoking, shared background traits, and physical proximity, the paper distinguishes social access from generic similarity or identity affinity.
- **Connects micro interactions to aggregate inequality.** The paper shows how a seemingly small workplace behavior—taking breaks with a manager—can scale into pay-grade and promotion differences.
- **Extends personnel economics.** The contribution is not simply that managers matter. It shows that informal interaction with managers is a mechanism through which managers matter.

- **Policy relevance.** The paper provides evidence for why promotion systems based on informal recommendations and relationship-building may perpetuate gender gaps even without overt discrimination.

2 Data construction and measurement

2.1 Institutional setting: a large commercial bank

- The empirical setting is a large commercial bank in Southeast Asia with thousands of employees, millions of customers, and a hierarchical internal labor market.
- The firm has a clear career ladder measured by pay grades. Moving up pay grades captures internal promotions and career progression.
- Female representation is high at entry levels but much lower at senior levels, making the setting suitable for studying internal promotion gaps.
- Managers are periodically rotated across teams. These rotations create changes in employees' direct managers without employees necessarily choosing the new manager.

Interpretation: The setting is valuable because the firm has the type of internal labor market in which informal access to managers can matter. It also has rich administrative records that allow the authors to observe both career outcomes and possible mechanisms.

2.2 Administrative employee–manager panel

- The main administrative data span 2015–2018.
- The full employee panel includes 14,638 unique employees and 1,269 unique managers.
- The panel is monthly or quarter-based depending on the outcome and event-study horizon.
- The data identify each employee's assigned manager, pay grade, gender, job location, and other employee and manager characteristics.
- Manager transitions are observed when an employee's manager changes from one person to another.

Interpretation: The administrative panel is the backbone of the design. The same employee can be followed before and after manager switches, allowing the analysis to compare career trajectories around the event date.

2.3 Pay-grade outcome

- The main career outcome is the employee's pay grade.
- Pay grade is a discrete internal measure of seniority and compensation level.
- Pay-grade changes represent promotion-like career progression inside the firm.
- In event studies, the dependent variable is the pay grade observed relative to the manager transition date.

Interpretation: Pay grade is more persistent and institutionalized than short-run salary changes. Effects on pay grades therefore indicate meaningful career advancement rather than a temporary bonus or performance shock.

2.4 Social-interaction measures

- The main direct interaction outcome is whether employees take breaks with their managers.
- The paper uses survey evidence to measure the share of breaks taken with the manager.

- Smoking is used as an interaction technology: smoking employees and smoking managers can take smoking breaks together in designated spaces.
- The analysis uses smoking status because it creates variation in face-to-face social access that is plausibly unrelated to employee productivity shocks.

Interpretation: Smoking status is not interpreted as economically important by itself. It is a proxy for a structured opportunity to socialize with the manager.

2.5 Effort, performance, and retention outcomes

- Effort is measured using administrative proxies such as days worked and hours spent in the office.
- Performance is measured using sales revenues for employees in sales roles.
- Retention is measured by whether the employee exits the firm.
- These outcomes are used to test whether pay-grade effects reflect true productivity improvements or a favoritism/networking channel.

Interpretation: If smoking managers increased the productivity of smoking employees, we would expect to see effects on effort, performance, or retention. The absence of such effects makes a productivity interpretation less plausible.

2.6 Smoking sample

- The smoking design focuses on male employees and male managers because very few women smoke in the setting.
- The smoking sample contains 2,907 unique employees, 997 unique managers, and 1,798 manager transition events.
- About one-third of the employees in this sample smoke, while about one-fifth of managers smoke.
- The key comparison is between transitions from nonsmoking to smoking managers and transitions from nonsmoking to nonsmoking managers.

Interpretation: Restricting to male employees and managers makes the smoking design cleaner. It avoids conflating smoking with gender and focuses on an interaction opportunity that is meaningful in the male workplace network.

2.7 Gender sample

- The gender analysis uses a larger sample of male and female employees and managers.
- The key comparisons are transitions from female to male managers, male to female managers, female to female managers, and male to male managers.
- The design compares how male and female employees respond differently to manager-gender transitions.
- The central object is the male-to-male advantage: whether male employees gain more from having male managers than female employees do.

Interpretation: The gender analysis asks whether the social-interaction mechanism suggested by smoking helps explain gendered career gaps. Because manager gender is more directly linked to the old-boys' club idea, this is the paper's main inequality application.

2.8 Shared traits and proximity measures

- Shared traits are defined using province of birth, college attended, and age closeness.
- Proximity is measured using administrative office-location information and survey evidence about whether jobs require face-to-face interaction with managers.
- High-proximity positions are those in which employees work physically close to their managers.
- Low-proximity positions provide a falsification-style test because informal face-to-face interaction should be less relevant there.

Interpretation: Shared traits help test whether generic affinity explains the effects. Proximity helps test whether the mechanism truly requires opportunities for in-person interaction.

3 Empirical specifications

3.1 Baseline event-study specification

The generic event-study design estimates outcomes around manager transition events:

$$Y_{i,t} = \alpha_i + \delta_t + \sum_{k \neq -1} \beta_k \mathbf{1}\{t - T_i = k\} \times Treatment_i + \varepsilon_{i,t}, \quad (1)$$

where $Y_{i,t}$ is an employee outcome, T_i is the transition date, and period -1 is omitted.

Interpretation: The coefficients β_k trace whether treated and comparison employees were already diverging before the manager switch and whether outcomes change after the switch.

3.2 Smoking single-difference specification

In the smoking analysis, the treatment compares employees who move from a nonsmoking manager to a smoking manager with those who move from a nonsmoking manager to another nonsmoking manager:

$$Y_{i,t} = \alpha_i + \delta_t + \sum_{k \neq -1} \beta_k^S D_i^S \mathbf{1}\{t - T_i = k\} + \varepsilon_{i,t}. \quad (2)$$

- $D_i^S = 1$ for transitions to a smoking manager.
- The specification is estimated separately for smoking and nonsmoking employees in Figure 1 panel A.
- The same event design is used for break-taking, effort, performance, and retention.

Interpretation: For smoking employees, β_k^S measures the effect of gaining a smoking manager. For nonsmoking employees, the same transition should not create a social-interaction advantage.

3.3 Smoking double-difference specification

The more direct smoking estimate subtracts the nonsmoking employee response from the smoking employee response:

$$\Delta \Delta_k^S = \beta_k^{S,smoker} - \beta_k^{S,nonsmoker}. \quad (3)$$

Interpretation: This double difference removes shocks that affect all employees who transition to smoking managers and isolates the advantage specific to smoking employees.

3.4 Gender single-difference specification

The gender specification compares transitions in manager gender:

$$Y_{i,t} = \alpha_i + \delta_t + \sum_{k \neq -1} \beta_k^G D_i^G \mathbf{1}\{t - T_i = k\} + \varepsilon_{i,t}, \quad (4)$$

where D_i^G indicates a gender transition such as female-to-male manager or male-to-female manager.

Interpretation: These coefficients describe whether male and female employees experience different pay-grade trajectories when the gender of the manager changes.

3.5 Dual-double-difference gender specification

The preferred gender measure compares male–female employee gaps under female-to-male manager transitions and under male-to-female manager transitions:

$$\Delta \Delta_k^G = \frac{1}{2} [(\beta_{F2M,k}^M - \beta_{F2M,k}^F) - (\beta_{M2F,k}^M - \beta_{M2F,k}^F)]. \quad (5)$$

Interpretation: The dual difference reduces concern that male employees simply do better under any new manager or that female managers are generally worse or better. It isolates the relative advantage of male employees with male managers in symmetric transition directions.

3.6 Proximity heterogeneity specification

The paper estimates the same event-study coefficients separately for high- and low-proximity positions:

$$Y_{i,t} = \alpha_i + \delta_t + \sum_{k \neq -1} \beta_k^{High} D_i \mathbf{1}\{High_i\} \mathbf{1}\{t - T_i = k\} + \sum_{k \neq -1} \beta_k^{Low} D_i \mathbf{1}\{Low_i\} \mathbf{1}\{t - T_i = k\} + \varepsilon_{i,t}. \quad (6)$$

Interpretation: If face-to-face interaction is the mechanism, the effect should be concentrated in high-proximity jobs. This is one of the strongest mechanism tests in the paper.

4 Identification strategy

4.1 Step 1: use manager rotations as quasi-random shocks to social access

- Employees do not freely choose the next manager in ordinary rotations.
- A manager switch changes the employee's exposure to manager traits, such as smoking status or gender.
- The empirical design compares employees around the transition date rather than comparing static teams.
- Employee fixed effects absorb stable individual differences such as ability, ambition, and baseline career track.

Interpretation: The identification strategy treats manager transitions as shocks to interaction opportunities. This is much more credible than comparing employees who voluntarily socialize with managers to those who do not.

4.2 Step 2: difference out the manager-transition effect itself

- A manager transition could affect everyone by disrupting the team or changing the evaluation process.
- The paper compares transitions to treated manager types with transitions to comparison manager types.
- In the smoking design, the core comparison is nonsmoking-to-smoking manager versus nonsmoking-to-nonsmoking manager.
- In the gender design, the core comparison uses the four manager-gender transition cells.

Interpretation: The design does not assume manager changes are irrelevant. It assumes that differences across transition types identify the incremental effect of gaining a manager with a particular interaction-relevant trait.

4.3 Step 3: event-study pretrends as a balance test

- The pretransition coefficients test whether treated and comparison employees were already on different pay-grade trajectories.
- The smoking figures show no strong pretrends before the manager switch.
- The gender dual-difference design also checks whether male and female employees were already diverging before manager-gender changes.
- The event-study structure therefore provides both estimation and diagnostic evidence.

Interpretation: The pretrend evidence is essential because it supports the claim that manager rotations are not strategically assigned to employees already on different promotion paths.

4.4 Step 4: use nonsmoking employees and female employees as internal controls

- Nonsmoking employees should not benefit from gaining a smoking manager through the smoking-break channel.
- Female employees do not experience the same gains from male managers as male employees do.
- These internal comparisons separate manager-specific quality from employee-manager match-specific effects.

Interpretation: If smoking managers were simply better managers, nonsmoking employees should also benefit. If male managers were simply better managers, female employees should also benefit. The evidence is instead match-specific.

4.5 Step 5: rule out productivity channels

- The paper tests effort using days worked and office hours.
- It tests performance using sales revenues.
- It tests retention using firm exit.
- The smoking advantage in pay grades is not accompanied by strong effects on these productivity-related outcomes.

Interpretation: The lack of effort, sales, and retention effects suggests that the pay-grade advantage is not simply a reward for improved productivity. It is more consistent with better access, visibility, mentoring, or favoritism.

4.6 Step 6: distinguish face-to-face interaction from generic affinity

- Shared traits such as province, college, and age could create affinity without necessarily creating structured interaction opportunities.
- The paper finds little evidence that gaining a manager with these shared traits generates the same pay-grade advantage.
- By contrast, the smoking and proximity results are stronger where direct interaction is more plausible.

Interpretation: This is an important falsification exercise. It shows that the mechanism is not merely “similar people help similar people”; the interaction opportunity itself appears central.

4.7 Step 7: use proximity heterogeneity as mechanism evidence

- If informal interactions drive career advancement, effects should be larger when employees work physically near managers.
- Figure 5 shows a larger smoker-to-smoker advantage in high-proximity jobs.
- Figure 8 shows the male-to-male advantage is also stronger in high-proximity jobs.

Interpretation: Proximity is especially persuasive because it changes the plausibility of the mechanism without directly changing employee gender or smoking status.

4.8 Threats and limitations

- **Nonrandom rotations.** If managers are assigned to teams based on unobserved expected performance, estimates could be biased. Event-study pretrends and balance tests mitigate but cannot fully eliminate this concern.
- **Unobserved productivity.** The authors observe several effort and performance proxies but cannot observe all dimensions of contribution, mentoring, task assignments, or political support.
- **External validity.** The firm is a large bank in Southeast Asia. Magnitudes may differ in other cultures, industries, or remote-work environments.

- **Mechanism ambiguity.** Social interactions could operate through information transfer, mentoring, visibility, friendship, favoritism, or task allocation. The paper identifies the importance of interactions more cleanly than it identifies the exact subchannel.

Interpretation: The empirical case is strong because the results line up across multiple designs: smoking, breaks, gender, proximity, and null productivity effects. The remaining caveat is that the estimates capture the consequences of social access, not every micro-mechanism inside social access.

5 Figures and tables

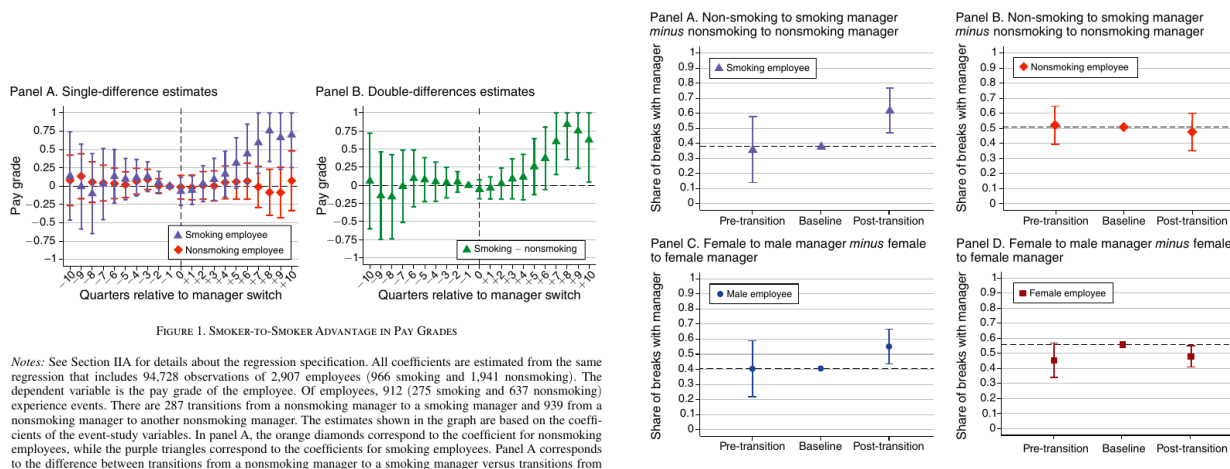
5.1 Figure 1. Smoker-to-Smoker Advantage in Pay Grades + Figure 2. Smoker-to-Smoker Advantage in Social Interactions with the Manager

Read:

- Figure 1 panel A shows that smoking employees who gain smoking managers rise in pay grade relative to the comparison group, while nonsmoking employees do not.
- Figure 1 panel B subtracts the nonsmoking employee effect from the smoking employee effect. The smoker-to-smoker advantage rises after the transition and reaches a large positive effect by ten quarters.
- Figure 2 shows the mechanism: smoking employees who gain smoking managers substantially increase the share of breaks taken with the manager.
- For nonsmoking employees, the same transition does not produce the same interaction gain.

Interpretation: Figure 1 establishes the career outcome and Figure 2 establishes the social-interaction channel. Together, they show that the pay-grade effect is associated with a real increase in employee-manager contact, not merely a change in manager identity.

Economic message: A structured workplace interaction opportunity—smoking breaks—appears to convert into faster career advancement.



(a) Figure 1. Smoker-to-Smoker Advantage in Pay Grades (b) Figure 2. Smoker-to-Smoker Advantage in Social Interactions with the Manager

5.2 Figure 3. Smoker-to-Smoker Advantage in Effort, Performance, and Retention + Figure 4. Pay Grade Advantage from Having a Shared Trait with the Manager

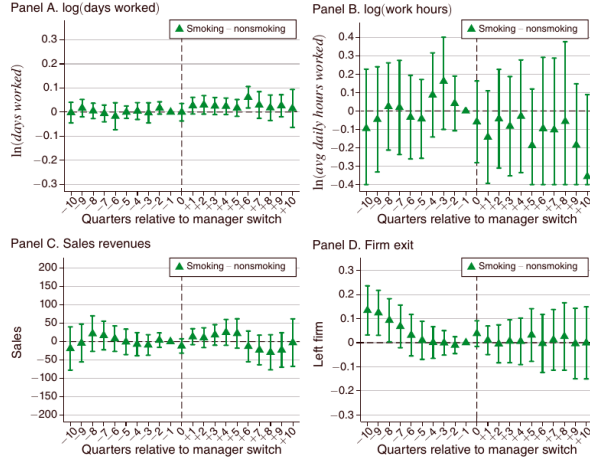
Read:

- Figure 3 tests whether the smoker-to-smoker pay-grade advantage reflects higher effort, better performance, or retention.
- The panels show little systematic change in days worked, work hours, sales, or firm exit.
- Figure 4 asks whether generic affinity explains the pay-grade effect. It uses shared province, college, or age closeness instead of smoking.

- The shared-trait estimates are small and mostly statistically insignificant.

Interpretation: Figure 3 weakens a productivity explanation. Figure 4 weakens a generic similarity explanation. These null results are important because they narrow the interpretation toward face-to-face access, visibility, mentoring, or favoritism generated by actual interaction.

Economic message: The promotion advantage is not just that similar people are more productive together. It seems tied to social access to the manager.



(a) Figure 3. Smoker-to-Smoker Advantage in Effort, Performance, and Retention

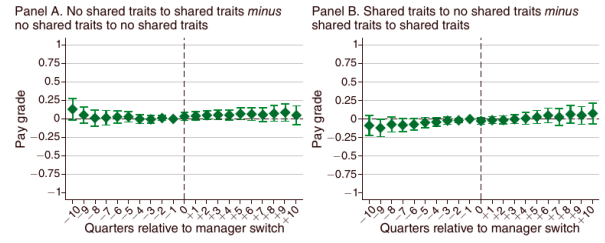


FIGURE 4. PAY GRADE ADVANTAGE FROM HAVING A SHARED TRAIT WITH THE MANAGER

Note: All coefficients estimated from a regression with 380 176 observations of 14 635 employees. Panel A: 3 818

(b) Figure 4. Pay Grade Advantage from Having a Shared Trait with the Manager

5.3 Figure 5. Smoker-to-Smoker Advantage in Pay Grades: Heterogeneity by Proximity to the Manager + Figure 6. Male-to-Male Advantage in Pay Grades: Single-Difference Estimates

Read:

- Figure 5 splits the smoking estimates by whether the employee works in a high-proximity or low-proximity position.
- The smoker-to-smoker advantage is much larger in high-proximity positions, consistent with face-to-face interaction being the operative channel.
- Figure 6 begins the gender analysis. In female-to-male manager transitions, male employees gain relative to female employees.
- In male-to-female manager transitions, male employees do not show the same benefit and may lose relative position.

Interpretation: Figure 5 is a mechanism test; Figure 6 translates the smoking insight into the gender setting. Together, they suggest that the old-boys' club operates through social contact, and that male employees gain more from male managers when interaction opportunities are available.

Economic message: The same social process that explains smoker-to-smoker promotion advantages can help explain gendered promotion gaps.

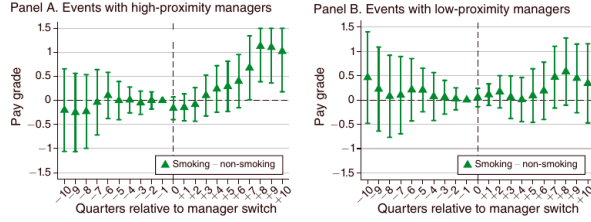


FIGURE 5. SMOKER-TO-SMOKER ADVANTAGE IN PAY GRADES: HETEROGENEITY BY PROXIMITY TO THE MANAGER

Notes: See Section IIA for details about the regression specification. These results use the specification reported

(a) Figure 5. Smoker-to-Smoker Advantage in Pay Grades: Heterogeneity by Proximity to the Manager

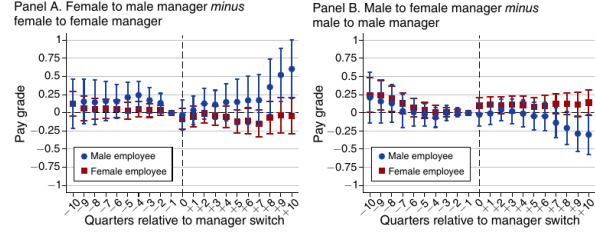


FIGURE 6. MALE-TO-MALE ADVANTAGE IN PAY GRADES: SINGLE-DIFFERENCE ESTIMATES

Notes: See Section IIA for details about the regression specification. Each panel plots single-difference estimates.

(b) Figure 6. Male-to-Male Advantage in Pay Grades: Single-Difference Estimates

5.4 Figure 7. Male-to-Male Advantage in Pay Grades: Double-Differences Estimates + Figure 8. Male-to-Male Advantage in Pay Grades: Heterogeneity by Proximity to the Manager

Read:

- Figure 7 is the more direct gender estimate. It compares male versus female employees across manager-gender transitions.
- Panel C provides the symmetric dual-double-difference estimate, showing that the male-to-male advantage grows after the manager transition.
- Figure 8 splits the gender effect by proximity.
- The male-to-male advantage is strong in high-proximity jobs and close to zero in low-proximity jobs.

Interpretation: Figure 7 establishes the gendered promotion effect. Figure 8 strengthens the mechanism by showing that the effect appears where face-to-face contact is easiest. The high-proximity result is difficult to reconcile with a pure manager-quality explanation.

Economic message: Informal social access to male managers appears to give male employees a promotion advantage, contributing to gender inequality in internal labor markets.

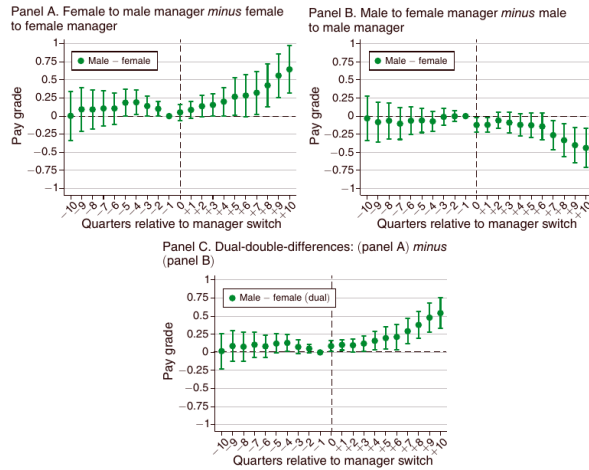


FIGURE 7. MALE-TO-MALE ADVANTAGE IN PAY GRADES: DOUBLE-DIFFERENCES ESTIMATES

(a) Figure 7. Male-to-Male Advantage in Pay Grades: Double-Differences Estimates

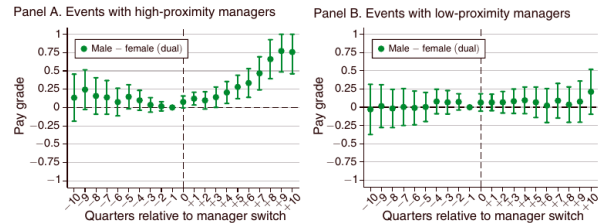


FIGURE 8. MALE-TO-MALE ADVANTAGE IN PAY GRADES: HETEROGENEITY BY PROXIMITY TO THE MANAGER

Notes: See Section IIA for details about the regression specification. Each panel plots dual-double-differences estimates.

(b) Figure 8. Male-to-Male Advantage in Pay Grades: Heterogeneity by Proximity to the Manager

6 Interpretive synthesis

6.1 What the smoking design teaches

The smoking design is a clean laboratory for a broader idea. Smoking itself is not the economic object of interest; it is a social technology that creates repeated informal contact between employee and manager. The fact that smoking employees gain when they obtain smoking managers, while nonsmoking employees do not, shows that career benefits are attached to interaction opportunities rather than to manager changes in general.

6.2 What the gender design adds

The gender analysis shows that the interaction mechanism has distributional consequences. If men have more opportunities to socialize with male managers, and managers are disproportionately male at higher levels, then informal networking can reproduce gender inequality even when formal promotion rules are not explicitly discriminatory.

6.3 Why productivity is not the main interpretation

The null effects on days worked, work hours, sales, and retention matter. If managers simply made their socially connected employees more productive, these outcomes should move in the same direction as pay grades. Instead, the pattern suggests that managers may be learning more about connected employees, advocating for them, giving them informal mentoring, assigning better tasks, or favoring them in promotion decisions.

6.4 Why proximity is central

The proximity results connect the story to the physical organization of work. Social interaction requires opportunities to meet. The fact that effects are much stronger in high-proximity jobs supports the interpretation that in-person contact is part of the causal pathway.

6.5 Implications for remote work

The paper helps explain why remote work can raise productivity while lowering promotion rates. Remote workers may be productive but less visible to managers. If promotion depends partly on informal contact, then reduced face-to-face interaction can reduce career advancement even when output does not decline.

7 Short summary

- The paper studies whether informal social interactions with managers affect promotions and contribute to gender inequality.
- The setting is a large Southeast Asian commercial bank with rich administrative and survey data.
- Manager rotations provide quasi-random changes in employee exposure to manager traits.
- Smoking is used as a structured opportunity for social interaction because smoking employees and smoking managers can take breaks together.
- Smoking male employees who gain smoking male managers experience faster pay-grade growth.
- This advantage coincides with a large increase in breaks taken with the manager.
- The paper finds little evidence of effects on effort, performance, or retention.
- Shared background traits do not generate comparable effects, suggesting the mechanism is not generic affinity alone.

- Male employees gain more from male managers than female employees do.
- The male-to-male advantage is strongest in high-proximity positions.
- The mechanism can account for a large share of the gender gap in promotions at the firm.
- The paper provides quantitative evidence for an old-boys'-club mechanism operating through informal access to managers.

8 Conclusion

8.1 Core conclusion

Cullen and Perez-Truglia show that social interactions with managers affect internal career progression. Employees who obtain greater access to informal face-to-face interactions with their managers are promoted faster. Because these interaction opportunities are gendered, the same mechanism can help explain why men advance faster than women in the firm.

8.2 Economic intuition

Promotion is not determined only by formal output measures. Managers observe, evaluate, mentor, and advocate for employees. Informal interactions can increase visibility, trust, information flow, and sponsorship. When men have more access to male managers through workplace social routines, they can receive career advantages that are not fully captured by measured productivity.

8.3 Policy implications

The results suggest that organizations cannot close gender gaps only by removing formal barriers. Firms may also need to redesign informal evaluation channels. Possible responses include structured promotion committees, multiple-manager evaluations, standardized metrics, explicit mentoring programs, and efforts to ensure that career-relevant networking opportunities are not gender-exclusive.

8.4 What the paper does not prove

The paper does not prove that every male-to-male advantage is favoritism. It also does not fully separate mentoring, information, friendship, task assignment, and advocacy. The main result is that social access to managers has career consequences, and that these consequences can be unequal across gender.

8.5 Final takeaway

The old boys' club can operate through ordinary workplace routines: breaks, conversations, and proximity. These interactions may look informal and harmless, but they can have cumulative consequences for promotions and pay. The paper's contribution is to make this mechanism measurable, causal, and quantitatively relevant.